IN THE NATIONAL COMPANY LAW TRIBUNAL,

NEW DELHI, COURT-III

COMPANY PETITION NO. (CAA) – 15(ND)/2024

CONNECTED WITH

COMPANY APPLICATION NO. (CAA)-86(ND)/2023

(Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF:

M/s. SVG Media Private Limited

..... Petitioner Company / Transferor Company

IN THE MATTER OF SCHEME OF AMALGAMATION

AMONGST

M/s. SVG Media Private Limited

..... Petitioner Company / Transferor Company

AND

M/s. Amnet Trading India Private Limited

..... Transferee Company

AND

THEIR RESPECTIVE CREDITORS AND SHAREHOLDERS

Order Pronounced On: 06.05.2025

CORAM:

SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)

DR. SANJEEV RANJAN, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For Petitioner	:	Mr. Naresh Kumar, Mr. Ashish Middha Advs.
For RD	:	Mr. Sumit Kansal, Mr. Aryan Gupta Advs.
For Income Tax Department	:	Mr. Puneet Rai, SSC, Mr. Rishabh Nangia, Mr. Ashvini Kr, Mr. Nikhil Jain Advs

ORDER

PER: DR. SANJEEV RANAJAN, MEMBER (TECHNICAL)

1. The present Second Motion Petition is filed by M/s. SVG Media Private Limited (Petitioner Company/Transferor Company) under Sections 230-232 of the Companies Act, 2013 (Act) read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (Rules) for the Sanction of the proposed Scheme of Amalgamation amongst the Transferor Company and Transferee Company and their respective shareholders and creditors (Scheme).

   The Registered office of Petitioner/Transferor Company is situated in the NCT of Delhi while the Registered office of Transferee Company is situated in Dr. Annie Besant Road, Worli, Mumbai, therefore, only Transferor Company falls under the jurisdiction of the National Company Law Tribunal, New Delhi.

2. The Petitioner Company/Transferor Company namely M/s. SVG Media Private Limited, bearing CIN: U45400DL2007PTC163788 was incorporated on 22/05/2017 under the provisions of the Companies Act 1956, as a Private Company Limited by Shares (Non-govt. Company) with the Registrar of Companies Delhi in the name and style "Tyroo Media Private Limited". The name of the Company was changed to its present name vide Fresh Certificate of Incorporation dated 28/12/2012 issued by the NCT of Delhi and Haryana at Delhi. As per the master data available on the website of Ministry of Corporate Affairs, the registered office address of Petitioner Company is situated at S-27, Second Floor, Star City Mall Market District Centre, Mayur Vihar-I, Delhi-110091. The Address at which the books of account are to be maintained is Lower Ground Floor, AIHP Palms, 242-243, Udyog Vihar, Phase 4, Gurugram, Haryana, India, 122016. The Authorized Share Capital of the Petitioner/Transferor Company is Rs 84,00,000/- divided into 79,00,000 Equity Shares of Rs.1/- each aggregating to Rs. 79,00,000/- and For Rs.1,00,000/- 3% Compulsory Convertible Preference Shares of Rs. 1/- each aggregating to Rs. 1,00,000/- and 4,00,000, 0.01% Compulsory Convertible Preference Shares of Rs. 1/- each aggregating to Rs. 4,00,000/-. The present Issued, Subscribed and Paid-up Share Capital

of the Company is Rs 2,66,513/- divided into 2,66,513 Equity Shares of Rs. 1/- each.

3. The Transferee Company namely M/s. - Amnet Trading India Private Limited, bearing CIN: U74900MH2014PTC257402 was incorporated on 20/08/2014 under the provisions of the Companies Act 2013, as a Private Company Limited by Shares (Non-govt. Company) with the Registrar of Companies, Maharashtra. The registered office address of Transferee Company is situated at Devchand House, C Block, 2nd Floor, Shivnagar Estate, Dr. Annie Besant Road, Worli, Mumbai- 400018, Maharashtra. The Authorized Share Capital of the Transferee Company is Rs 25,00,000/- divided into 2,50,000 Equity Shares of Rs 10 each. The present Issued, Subscribed and Paid-up Share Capital of the Company is Rs 1,00,000/- divided into 10,000 Equity Shares of Rs 10 each.
4. It is stated that the Transferor Company viz., M/s. SVG Media Private Limited has moved the necessary second motion Petition **CP (CAA) – 15(ND)/2024** connected with the first motion Application being **CA (CAA) –86(ND)/2023**, before the National Company Law Tribunal, New Delhi.
5. Affidavits in support of the above petition has been sworn by Dr. Ashish Maheshwari, authorized signatory of M/s. SVG Media Private Limited who have been authorized by Board of Directors by way of Board Resolution dated 05.09.2023 for the Petitioner Company and have been duly filed, along with the petition.
6. The Board of Directors of the Petitioner Company in their meeting held on 05.09.2023 approved and adopted the Scheme of Amalgamation of M/s. SVG Media Private Limited (Petitioner Company/ Transferor Company) and M/s. Amnet Trading India Private Limited (Transferee Company) in accordance with the terms of the Scheme of Amalgamation.
7. The Scheme of Amalgamation of the above-mentioned companies is having the following rationale and objective:

   "a) The Transferor Company and Transferee Company (as defined hereinafter) are Group Companies engaged in the similar line of business and believe that the resources of the merged entity can be pooled to unlock the opportunity for creating shareholder value.

b) The Companies will be able to share best practices, cross-functional learnings, and utilize each other's facilities in a more efficient manner.

c) The proposed amalgamation will enable to consolidate group entities in India carrying on the business of providing digital media advertising and creative services to its clients in India and providing services related to planning and implementation to its customers and will result in administrative and operational rationalization, organizational efficiencies, reduction in overheads, personnel and compliance costs including other administrative expenses.

d) The proposed amalgamation would be beneficial from a revenue generation and cost optimization perspective as the Transferee Company would continue to reap benefits of the qualifications of the Transferor Company and its preferred vendor status with identified customers post-amalgamation.

e) The proposed amalgamation will prevent cost duplication and will result in synergies in operations. The synergies created by such amalgamation would increase operational efficiency and integrate business functions which will enable easier and speedier decision making at all levels and better management and co-ordination.

f) Simplified structure and management efficiency: In line with group strategy-simplification, synergy, scale, sustainability and speed, the proposed merger by absorption will simplify group holding structure, improve agility to enable quicker decision making, eliminate administrative duplications, consequently reducing administrative costs of maintaining separate entities.

g) The proposed amalgamation will improve organizational capability arising from the pooling of human capital that has diverse skills, talent and vast experience and integration and optimization of various support functions, resources, and assets.

h) The proposed amalgamation would make it easier to address the needs of customers by providing them a wide variety of services ranging from digital media and advertising solutions to programmatic buying of digital solutions thereby improving customer satisfaction.

i) The proposed amalgamation will be beneficial, advantageous and not prejudicial to the interests of the shareholders, creditors, and other stakeholders of the Transferor and Transferee Company.

j) The Scheme is commercially and economically viable and feasible and is in fact fair and reasonable.

8. This Tribunal by its order dated 05.02.2024 dispensed with the requirement of convening and holding the meetings of the Equity Shareholders, unsecured creditors and secured creditors of the Petitioner Company.

9. The Second Motion petition has been moved by the Petitioner Company in connection with the Scheme of Amalgamation. This Tribunal on order 11.03.2024 passed the following order:

"This is the Second Motion Petition.

Heard the submissions made by the Learned Counsel appearing for the Applicant.

Let notice be issued to the statutory authorities i.e. Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi, Registrar of Companies, Delhi and Haryana, New Delhi, Official Liquidator and Income Tax Department.

The Applicant is at liberty to publish the notice in two newspapers i.e. "Business Standard" (English, Delhi Edition) and "Business Standard" (Hindi, Delhi Edition) and file proof and affidavit of service within two weeks. The statutory authorities are directed to file their respective reports within two weeks after receipt of the notice."

10. It is submitted by the Transferor Company that in compliance of the above-stated directions, the Petitioners duly filed an Affidavit of Service by confirming that the aforesaid Notices of the present Company Petition were published in "Business Standard" (English,) and "Business Standard" (Hindi) Delhi NCR edition in its issue dated 29.03.2024.

    It is further submitted that the Transferor Company has also served the Notices of the present Company Petition to all the concerned authorities as per the direction given by this Tribunal vide order dated 11.03.2024.

11. The Regional Director along with the Registrar of Companies vide its representation/affidavit dated 04.07.2024 has not objected to the proposed scheme of the Amalgamation but has made certain observations. The Transferor company has filed a reply in response to the observations made by the Regional Director along with the Registrar of Companies, wherein the Transferor company has responded to the observations made and has given an undertaking to appropriately comply with the observations made by the Regional Director along with the Registrar of Companies. The details of the same are summarized below:

<table>
<tr><td>Observations of the Regional Director vide Representation/affidavit dated 04.07.2024</td><td>Reply of the Petitioner Company vide affidavit</td></tr>
<tr><td>i.In case of Transferor Company auditor has stated in the audit report for the FY ended 31.03.2023 that the company has not paid certain dues on account of dispute and cases for same are being pending before their respective authority. Hence, the company may be asked to clarify the same.</td><td>i.“I say that para (a) is merely reproduction of extract of Auditor’s Report for the F.Y. 2022-23 in respect of certain dues which have not been paid by Transferor Company on account of disputes and the matter is pending before the respective authority. Details of the same along with year wise response is as follows:
<table>
<tr><th>Nature of dues</th><th>Amount (Rs. In lakhs)</th><th>Assessment Year</th><th>Forum where dispute is pending</th><th>Response by the Petitioner Company</th></tr>
<tr><td>Income Tax</td><td>0.48</td><td>2012-13</td><td>Assistant commissioner of income tax</td><td>As on date, there is no demand outstanding on the Income Tax portal for the said Assessment year. Screenshot of Income Tax Website in support of the same is attached herewith as Annexure – “B”.</td></tr>
<tr><td>Income Tax</td><td>0.31</td><td>2015-16</td><td>Assistant commissioner of income tax</td><td>The demand is on account of short grant of TDS</td></tr>
</table></td></tr>
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				credit for the said assessment year. Once the appropriate credit of taxes are granted, the demand shall be reduced to NIL. We have submitted appropriate response towards the same on the Income Tax Portal – screenshot of the same is attached as Annexure "C".
Income Tax	0.56	2016-17	Assistant commissioner of income tax	The demand is on account of short grant of TDS credit for the said assessment year. Once the appropriate credit of taxes are granted, the demand shall be reduced to NIL. We have submitted appropriate response towards the same on the Income Tax Portal – screenshot of the same is attached as Annexure "D".
Income Tax	897.46	2018-19	Assistant commissioner of income tax	We have filed appeal with CIT(A) in response to the Assessment order for AY 2018-19. We have also filed an application for stay of demand which is pending disposal.
Income Tax	157.48	2019-20	Assistant commissioner of income tax	We have file Rectification Application with the Assessing officer in relation to rectification of mistakes apparent from records.

	In this regard, it is hereby clarified that the matters are Still pending before the concerned Authority. Further, clause 7 and clause 12 of the Scheme confirms that Transferee Company will appropriately deal with the said disputes and Income Tax dues. In any case, Petitioner Company (Transferor Company) hereby undertakes that Transferee Company will appropriately deal with the said disputes and Income Tax dues. We do hereby undertake and confirm that any liability which may arise in future against the Transferor Company, will be paid by the Transferee Company in accordance with the applicable provisions of Law. The Scheme will not adversely affect the right of recovery of the Income Tax Department, or any enquiry, investigation, scrutiny or other proceedings being carried out by Income Tax Department against any of the Petitioner Companies. The Income Tax Department is entitled to recover any tax demand or any other dues of the Transferor Company from the Transferee Company."
ii. In case of Transferor Company auditor has stated in the audit report for the FY ended 31.03.2023 that certain dues outstanding more than six months. Hence, the company may be asked to clarify the same.	**ii**. I say that para (b) is also merely a reproduction of extract Auditor's report for the F.Y. 2022-23 in respect of certain undisputed dues which were outstanding for more than six months. In this regard, it is hereby clarified that only Rs. 375 was outstanding towards Provident Fund which has been subsequently deposited in May 2023 by the Transferor Company. The paid challans towards the same are annexed & collectively marked as Annexure — "E".
iii. In case of Transferor Company auditor has stated in the audit report for the FY ended 31.03.2023	**iii.** I say that para (c) is also merely a reproduction of extract of Statutory Auditor's report for the F.Y. 2022-23 that the company has incurred cash losses in the immediately preceding financial year of Rs.409.84 lakhs. In this regard, it is hereby clarified that it was one-off case where Company

that the company has incurred cash losses in the immediately preceding financial year of Rs.409.84 lakhs. Hence, the company may be clarify the same.	had incurred losses for the year ended March 31, 2022 since COVID-19 had significant impact on the overall functioning of the Media and Entertainment industry which resulted into reduction in the client revenue and higher overhead cost to sustain. However, during the year ended March 31, 2023, there are no cash losses as has also been reported in the audit report for the F.Y. ended 31.03.2023. Also, the Transferor Company has highly positive Net Worth as it can be observed from the Audited Balance Sheet as *at 31.03.2023.*

12. The Official Liquidator vide its report dated 12.07.2024 has submitted to this tribunal stating therein that on the basis of information submitted by the Petitioner Companies the official liquidator is of the view that the affairs of the Transferor company do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest in terms of the provisions of the Companies Act 2013.
13. During the course of proceedings on 22.07.2024 the Learned Counsel appearing for the Registrar of Companies, Regional Director and the Official Liquidator submitted that they have no objections to the present scheme. The order dated 22.07.2024 is reproduced below:

    "Learned Counsel appearing for the RoC, RD and OL have stated that they have no objections to the present scheme.

    Mr. Nikhil Jain, Learned Counsel appearing for the Income Tax Department seeks time to place on record an affidavit indicating therein the details of pending demands. One week time granted."
14. The Income Tax Department has filed its report dated 02.08.2024 the relevant portion of the said report is extracted below:

SVG Media Private Limited ("Transferor Company) ("AACCT6778M")	
1. Whether there is any Income Tax demand pending against the company? If yes, the quantum thereof may kindly be communicated. In view of the above, it is requested that the concerned Assessing Officers for each of the above Companies prepare their respective para-wise comments or instructions with respect to the present Company Petition for restoration of the name of the company.	Total demand pending against the assessee is Rs.**7,68,29,640/-** in various Assessment Year as on date, shows in the ITBA system. In the present case, in the proposed scheme of amalgamation of the name of the company.
2 The details of any proceeding under the Income Tax Act pending against the above Company, if any	As per the ITBA system of Circle- 22(2). New Delhi, proceedings of penalty u/s 270A for the A.Y. 2017-18 and 2018-19 is pending against the company.
3. Whether the Income Tax Department would have any objection to the said Scheme Arrangement for restoration of the name of the company the being approved by the Hon'ble NCLT? If yes, the detailed reasoning behind such objection may kindly be provided	Department/Revenue reserves its right to initiate and/or continue proceedings under the IT Act, 1961. The assessee company is transferor company. Department/Revenue reserves its right behind to recover any demand payable by the company, if it comes to the knowledge of the department.
4. Any other details or instructions which may have a bearing on the case in order to safeguard the interest of the Revenue	---

15. During the course of proceedings on 14.10.2024, it was submitted by learned counsel for Income Tax Department that there are huge outstanding demands pending against the Transferor company and for the same no undertaking has been given by the Transferee Company. Order dated 14.10.2024 is reproduced below:

    "Mr. Nikhil Jain, Ld. Counsel appearing for Income Tax Department has stated that there are huge outstanding demands against the Transferor Company for which no undertaking has been given by said Transferee Company for payment of demands whereas, the Transferor Company has given an undertaking. We therefore, direct the Applicant to file an undertaking by the Transferee Company."

16. On 09.12.2024 this Tribunal passed the following order:

"In compliance with the order dated 14.10.2024, the Applicant has filed an undertaking with respect to the Transferee Company. Learned Counsel appearing for the Applicant seeks time to file Board Resolution authorizing the signatory undertaking to sign the same. One week time granted to do the needful."

17. During the course of proceedings on 03.02.2025 this Tribunal observed that the Applicant has filed a copy of the board resolution wherein the name of the signatory has been mentioned as "Sujit Vaidya" whereas in the affidavit of undertaking the name is mentioned as "Sujit Vijay Vaidya". Therefore this Tribunal directed the Applicant to reconcile and clarify the same by filing an affidavit with relevant documents. The relevant portion of order dated 03.02.2025 is reproduced below:

    "The Applicant has filed a copy of the board resolution wherein the name of the signatory has been mentioned as "Sujit Vaidya" whereas in the affidavit of undertaking the name is mentioned as "Sujit Vijay Vaidya".

    The Applicant, is therefore, directed to reconcile and clarify the same by filing an affidavit with relevant documents within one week."

18. On 07.04.2025 during the course of proceedings it was submitted that order dated 03.02.2025 has been complied and Applicant has filed an affidavit of Mr. Udayan Banerjee, the Director of the Company and an affidavit of Mr. Sujit Vaidya, stating that Mr. Sujit Vaidya and Mr. Sujit Vijay Vaidya are the same person. Mr. Nikhil Jain Learned Counsel appearing for the Income Tax Department submitted that he has no objection and he is in agreement with the statement made in the said affidavit. He had also drawn attention of this Tribunal to the report made by Income Tax Department wherein certain observations have been made with regard to outstanding demands amounting to the tune of Rs. 7,68,29,640/-. He further submitted that the Income Tax Department is satisfied with the undertaking stating that the outstanding demands will be paid by the transferee. The order dated 07.04.2025 is extracted below:

    "In compliance of the order dated 03.02.2025, the Applicant has filed an affidavit of Mr. Udayan Banerjee, the Director of the Company and an

affidavit of Mr. Sujit Vaidya, stating that Mr. Sujit Vaidya and Mr. Sujit Vijay Vaidya are the same person.

Mr. Nikhil, Ld. Counsel appearing on behalf of the Income Tax Department stated that he has no objection and he is in agreement with the statement made in the said affidavit.

We have heard the submissions of the Ld. Counsel appearing on behalf of the parties.

It may be noted that vide order dated 22.07.2024, the statement made on behalf of the Ld. Counsel appearing for RoC, RD and OL that there is no objection to the present scheme has been recorded.

Mr. Nikhil Jain, Ld. Counsel appearing for Income Tax Department has drawn our attention to the report made by the Income Tax Department wherein certain observations have been made with regard to the outstanding demands amounting to the tune of Rs. 7,68,29,640/-.

He further submitted that the Income Tax Department is satisfied with the undertaking stating that the outstanding demands will be paid by the transferee."

19. The Transferor Company has undertaken to maintain the account in accordance with and as per the method of Amalgamation prescribed in the applicable Indian Accounting Standard as notified under Section 133 of the Companies Act, 2013 and other accounting principles generally accepted in India.

    In this regard, Certified true copy of Certificate dated 12.09.2023 obtained from the Statutory Auditors of the Transferor Company confirming the accounting treatment proposed in the Scheme of Amalgamation are filed along with the Petition.

20. The Authorized Signatory of SVG Media Private Limited, the Petitioner / Transferor Company has filed an affidavit stating that no investigation or proceedings for inspection or inquiry have been instituted and are pending in relation to the Transferor Company under sections 206 to 229 (Chapter XIV) of the Companies Act 2013.

21. **Analysis and Finding**

i. After considering the reports, we are of the considered view that the Scheme is not prejudicial to the interest of the equity shareholders and creditors of the Transferor Company and the Transferee Company and the Scheme will be beneficial to the Transferor Company, Transferee Company and their respective shareholders and creditors.

ii. The shareholders of the petitioner companies are the best judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by this Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

iii. It has also been affirmed in the petition that the Scheme is in the interest of both the Transferor Company, Transferee Company, their respective shareholders, creditors, employees and all concerned.

In view of the foregoing discussions and upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

22. Consequently, the sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013.

i. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

ii. Notwithstanding the above, if there is any deficiency found or, the violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

iii. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from

payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

iv. In compliance with the requirement of Section 232(7) of the Act, the transferee company shall until the full implementation of the Scheme of Amalgamation file a statement every year in Form CAA 8 along with the required fee with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

v. The appointment date as proposed in the Scheme of Amalgamation i.e., 01.04.2023 is confirmed by this Tribunal.

23. This Tribunal does further order: -

i. That the Transferor Company shall stand dissolved without following the process of winding-up; and

ii. That all properties, rights and powers of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly, the same shall pursuant to Section 230-232 of the Companies Act, 2013 be transferred to and vested in the Transferee Company for all intents, purposes and interest of the Transferor Companies subject nevertheless to all changes now affecting the same; and

iii. That all the liabilities, (if any) and powers, engagements, obligations and duties of the Transferor Company shall pursuant to Section 232(3) of the Companies Act,2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company; and

iv. That all proceedings now pending by or against the Transferor Company shall be continued by or against the Transferee Company; and

v. That all the employees of the Transferor Company in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date, shall become the employees of the Transferee Company on such date, without any break or interruption in service and upon terms and condition not less favorable than those subsisting in the concerned Transferor Company on the said date; and

vi. That the Petitioner Company, shall within thirty days of the date of the receipt of this order cause certified copy of this Order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferee Company shall be deemed to be transferred; and

vii. That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

24. Accordingly, the Scheme stands **sanctioned** and **CP(CAA)/15 (ND)/2024** stands **disposed of** in the above terms.

Let copy of the order be served to the parties.

-Sd-
(DR. SANJEEV RANJAN)
MEMBER (TECHNICAL)

-Sd-
(BACHU VENKAT BALARAM DAS)
MEMBER (JUDICIAL)